Cambridge (CIE) A Level Business

Your notes

Size of Business

Contents

- Measurements of Business Size
- Business Growth
- Evaluating External Business Growth

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Your notes

Methods used to measure business size

- A range of stakeholders have an interest in understanding business size
  - Some **suppliers** prefer to deal with larger businesses as they are seen as less risky than small businesses
  - **Governments** can determine which businesses may need support to grow
  - **Investors** may want to compare businesses to determine which offers the best **return**
- In some sectors, **specific variables** are used to measure business size
  - Hotels and guesthouses measure the **number of rooms or beds**
  - Restaurants measure the **number of 'covers'** they can cater for
  - Retailers measure the **number of outlets** they operate
  - Logistics businesses measure the **number of vehicles** they employ

Ways to measure business size

1. Size of the workforce

- A measure of how many workers are in the business
- Small and medium-sized businesses (**SME**s) employ less than 250 workers
- Large businesses have 250 or more workers
- The **method of production** can influence this metric
  - Large **capital-intensive** businesses employ few workers
  - Smaller **labour intensive** businesses have many employees
- Different workers' contracts make this measure unreliable
  - Some firms hire many **part-time** workers, while others have fewer **full-time** workers
  - Short-term, **zero hours** or **agency worker** contracts may not be included

2. Value of capital employed

- A measure of all the capital (money, equipment, and buildings) invested in a business at a specific time
- It is difficult to compare businesses with **labour-intensive** and **capital-intensive** production methods
  - European manufacturing businesses tend to have high levels of **capital, such as robots,** compared to firms in countries such as Vietnam and Indonesia

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- **Property values** differ across the world and between regions
  - E.g. The value of property in Singapore is significantly greater than property in mainland China

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Value of business sales

- The **total sales revenue** achieved during a trading period
- It is calculated using the formula

Price x Quantity sold

- Businesses sell very **different products**
  - Comparing a market stall selling sweets with a retailer of luxury handbags would be unrealistic, as their prices and volumes sold are very different
- Selling **prices vary** between markets
  - Businesses may sell products to customers in low-income markets at a lower price than in a higher-income market

3. Value of business output

- The **financial worth of goods produced,** even though they may not all be sold
- It is calculated using the formula

Total costs x Quantity

- High value output can be produced by businesses with **very few employees** or with **limited capital employed**
  - E.g. A bespoke jewellery maker may produce only a few expensive items each year
- The value of output does not measure how successful a business has been at selling goods produced
  - If goods are **left unsold,** they are a poor measure of business size

4. Market capitalisation

- The value of a company's **issued shares**
- It is calculated using the formula

Share price x Number of shares

Share prices fluctuate so market capitalisation is a relatively **unstable method** of measuring business size

- Sharp **increases in share price** can make it appear that a relatively small business has grown very quickly
- A rapid **decrease in the share price** may make a business appear smaller whilst employing the same number of employees

5. Market share

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- The portion of a market controlled by a particular company, brand or product
- It is calculated using the formula

(Business Sales ÷ Market Sales) x 100

In some cases, a large business may maintain a presence in a market dominated by smaller rivals to spread risk

- E.g. **Dunlop** continues to manufacture and sell sportwear in a market dominated by brands such as **Nike** and **Adidas**

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Examiner Tips and Tricks

Profit is not a measure of business size, though it can be used to measure business success.

A business with many employees may make a loss whilst a business with just one employee may make a profit. This does not mean that the business with one employee is the larger of the two.

Evaluating small businesses

- In the European Union (EU) small businesses are classified as those **employing 50 or fewer workers**
  - In 2022, small businesses were responsible for approximately 49 percent of employment in the EU's economy
  - Italy, France, Spain and Germany had the highest number of small businesses in the **trade bloc**, concentrated in the **retail sector**

Reasons why small firms succeed

Personalised Service	Agile	Operate in Nice Markets
▪ They offer a **personalised service** and focus on building excellent relationships with customers	▪ By remaining small, they are able to **respond quickly** to changing customer needs/preferences	▪ They provide a product that is in a **niche market** - a relatively small market with potential for **high profits**

- Operating as a small business has a number of **advantages:**
  1. They are **easy to set up** and, in many cases, require **little start-up capital**
  2. They are **managed by their owners,** who **maintain control** of the business and determine its **strategic** direction

3. Owners are likely to have **close working relationships** with workers, encouraging loyalty

- However, remaining as a small business can have some **disadvantages:**

1. **Few sources of finance** may be available, as owners are keen to retain full control and lenders consider them higher risk than larger firms
2. The business owner typically takes on all of the **responsibility for decision-making,** which can put them under significant pressure
3. There is little opportunity to achieve benefits of **economies of scale**

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Strengths and weaknesses of family businesses

- Many businesses are owned by **more than one member of the same family**
- Some family businesses have traded for a very long time
  - **Berenberg Bank** was founded in 1590 and is one of the few remaining independently owned banks in Germany
  - **Akerblads** is a hotel in Tällberg, Sweden that is currently run by members of the 21st generation of the family after which it is named
  - The Neame family remains in control of **Shepherd Neame,** Britain's oldest brewery, which was founded in 1664
- In some countries, family-owned businesses make up a significant proportion of enterprises
  - Globally, **90% of businesses are family-owned**, contributing significantly to **GDP** and employing many millions of workers
    - In India more than 79% of GDP is generated by family-owned businesses
    - Its largest example is **Reliance Industries**, founded in 1973 and run by the Ambani family

GDP contribution of family businesses

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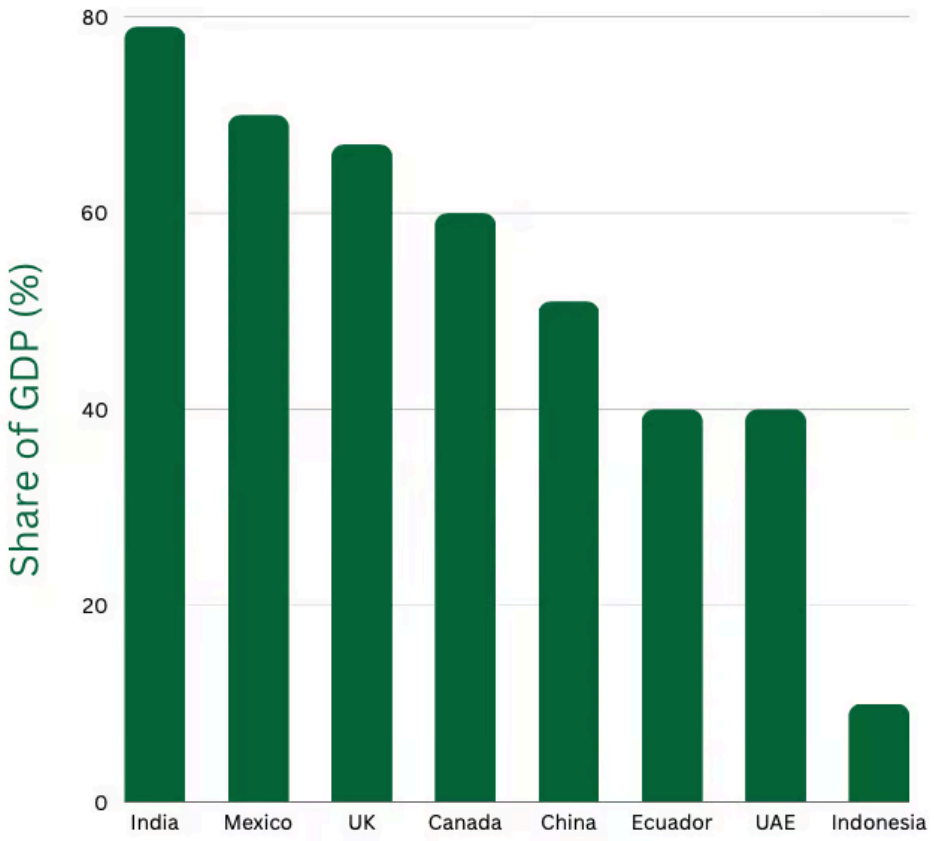

In countries such as India, Mexico and Canada, family businesses make a significant contribution to GDP

- Family businesses have a range of significant strengths and weaknesses

Strengths and weaknesses of family-owned businesses

Strengths	Weaknesses

▪ They often have a **long-term perspective** that prioritises business sustainability over profit
  ▪ This is likely to preserve the business for future generations
▪ They have **strong cultures**, rooted in the family's **ethos** and traditions
  ▪ This can encourage loyalty and a sense of belonging among employees
▪ Family owners demonstrate a **high level of commitment** to the
	▪ **Conflicts** and **tensions** can arise within the family
	  ▪ Disputes over business decisions and roles within the company can disrupt business operations
	▪ They may **lack professional management**
	  ▪ Family members are often promoted to leadership positions regardless of qualifications or experience, resulting in poor decision-making
	▪ They may **struggle to access external finance** to fund growth

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business ▪ Their personal reputation and **livelihoods** are tied to the success of the enterprise ▪ They develop **close relationships with customers** and build **long-lasting links with suppliers** ▪ This is likely to lead to an excellent reputation for customer service and high levels of flexibility	▪ Family owners are often reluctant to dilute family ownership by selling new **shares** to raise finance ▪ Planning for **succession can be complex and emotional** in family-owned businesses ▪ Choosing the next leader and the fair distribution of shares among family members can cause conflict

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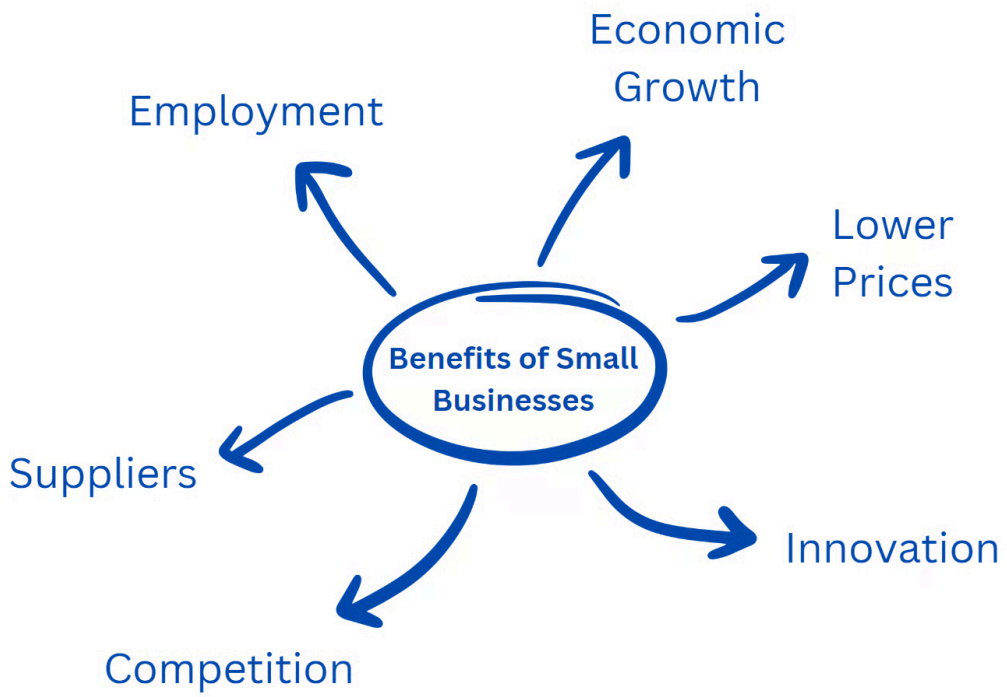
The role of small businesses in the economy

- Small businesses bring a range of benefits to an economy



Small businesses create employment, increase competition and encourage innovation within an economy

The benefits explained

Employment

- Small businesses employ a large proportion of the workforce in most economies
  - They account for 60 to 70 per cent of jobs in most **OECD** countries, with a particularly large share in Italy and Japan
  - In developing economies, small businesses create around 80% of new jobs

Economic growth

- Growth in countries or regions with few large businesses is fuelled by small and growing businesses
  - UK government policies, including **enterprise zones**, encourage small businesses to set up in areas of industrial decline, such as South Wales and the North East

Lower prices

- Small businesses often have lower wage and administration costs than large businesses
  - This may lead to lower prices for customers

Innovation and competition

- Small businesses are often set up and run by creative entrepreneurs, whose ideas and problem-solving abilities bring new products and services to the market
  - This increases choice for customers and creates competition for larger firms

Suppliers

- Small businesses can be important suppliers to large firms, offering innovative components, flexibility and adaptability, which can help them develop a strong **unique selling point**
  - E.g. Mark Levison supplies tailored audio equipment to luxury car manufacturer Lexus

The role of small businesses in different industrial sectors

- Small businesses are particularly important in some industries
- In the **USA**, small businesses make up a large proportion of firms operating in
  - **Accommodation and food services,** including hotels, restaurants and catering
  - **Beauty and hairdressing** services
  - **EdTech,** including online tuition and learning platforms
  - **Retail,** including small scale shops and online stores
  - **Construction,** including builders and services such as plumbers and electricians
- Some industries, such as power generation and shipping, are dominated by larger businesses
  - Significant **barriers to entry** such as the level of **capital investment** or technical expertise, exclude small businesses
  - However, small businesses often **provide tertiary functions for large businesses**, such as accounting, property maintenance and market research

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Why do businesses grow?

- Business growth involves a business **increasing its size, scope, or scale**
- Their leaders or owners may have **ambitions** for growth for a range of reasons

Reason	Explanation	Example
Rising customer demand	▪ When more people want a company's products, it can open new stores or hire extra staff to meet that need	▪ **Deliveroo** expanded into new cities when food-delivery orders surged during lockdown
Economies of scale	▪ As firms get bigger, they spread fixed costs over more units, cutting the unit cost and boosting profits	▪ A carmaker that builds 1 million vehicles each year pays less per car for parts and factory costs than a business that builds 100,000 cars
Entering new markets or products	▪ By selling to new customer groups or introducing related products, a business can find extra sources of revenue	▪ **Netflix** moved from DVD rentals to streaming and then launched in dozens of countries worldwide

Internal (organic) growth

- **Organic growth (internal)** is usually generated by
  - Gaining greater **market share**
  - Product diversification
  - Opening a new store
  - International expansion
  - Investing in **new technology** or production machinery
- Firms will often **grow organically** to the point where they are in a financial position to **integrate** with others
  - Integration speeds up growth but also creates new challenges

Evaluating organic growth

Advantages	Disadvantages

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▪ The **pace of growth** is manageable ▪ **Less risky**, as growth is financed by profits and there is industry expertise ▪ Avoids **diseconomies of scale** ▪ The management knows & understands every part of the business	▪ The pace of growth can be slow and frustrating ▪ Not necessarily able to benefit from **economies of scale** ▪ Access to **finance** may be limited

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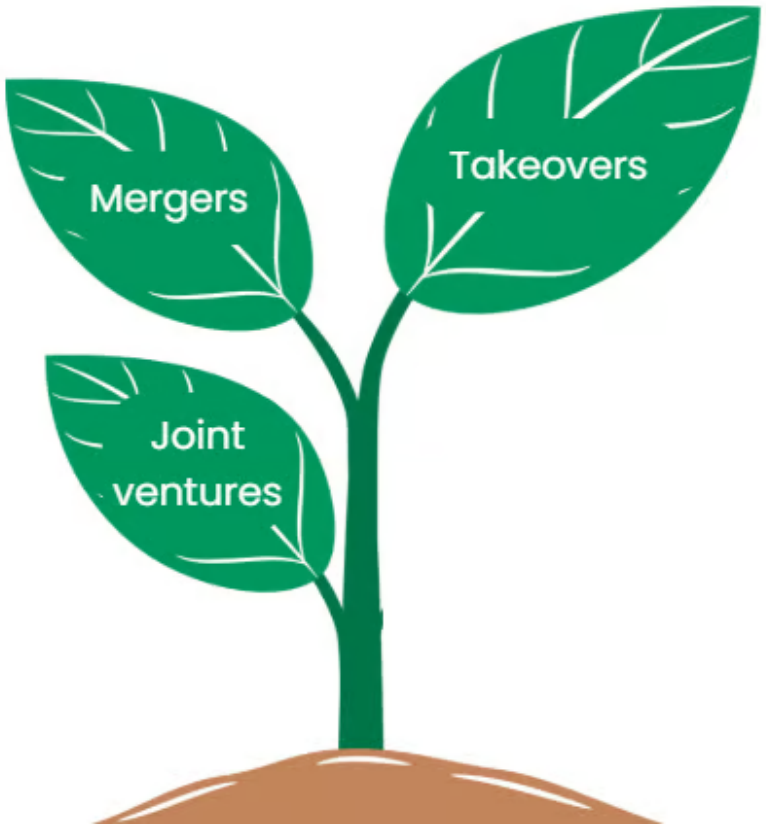
External growth

- Integration in the form of mergers, takeovers, and joint ventures results in rapid business growth and is referred to as **external (or inorganic) growth**

Methods of external growth



Methods of external growth include mergers, takeovers and joint ventures

- **A merger** occurs when two or more companies combine **to form a new company,** usually on a **friendly** basis
  - The original companies cease to exist, and their assets and liabilities are transferred to the newly created entity
  - Firms merge to become **stronger together** than they would be apart

- That strength comes from lower costs, more customers, new capabilities or less competition
- **A takeover** occurs when **one company purchases another company**, often against its will (**hostile takeover**)
  - The acquiring company **buys a controlling stake (more than 50% of shares) i**n the target company's shares and gains control of its operations
- A **joint venture** occurs when two businesses join together to share their knowledge, resources, and skills to form a separate business entity, usually for a **limited period of time**
  - E.g., the mobile network **EE** is in a joint venture formed by the French mobile network, Orange, and the German mobile network, T-Mobile
- There are several reasons why companies may choose to pursue external growth

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Reasons for external growth

Reason	Explanation	Example
Strategic fit	▪ Acquiring another company to enter new markets, offer new products, or gain new technology	▪ In 2010, **Kraft Foods** bought Cadbury to expand its product range and boost sales in the UK
Economies of scale	▪ Growing larger lets companies cut costs and work more efficiently by combining operations and spreading fixed costs over more output	▪ When a factory doubles output, its cost per unit falls because overheads are spread across more items
Synergies	▪ Benefits that arise when two companies combine, such as higher revenue, lower costs, or better products	▪ Two merged airlines share routes and staff, reducing costs and offering more flight options
Elimination of competition	▪ Buying rivals removes competition and increases the buyer's market share	▪ **Meta** (Facebook's parent company) acquired WhatsApp in 2014, adding its users to Facebook's network
Shareholder value	▪ Mergers and takeovers can boost profits, dividends, and share prices, creating higher returns for investors	▪ After a merger, a company's combined profits rise, leading to a higher dividend and a stronger share price

Types of integration

- **External growth** usually takes place when firms join in one of three broad ways

1. Vertical integration

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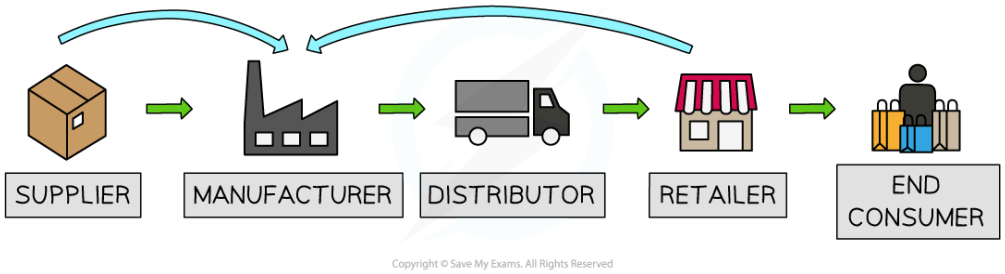
- This is a merger or takeover of another firm in the supply chain or different stage of the production process
  - E.g. An ice cream manufacturer merges with a dairy farm or an ice cream cafe chain

Examples of vertical integration



A diagram that illustrates how a firm can grow through forward or backward vertical integration

- **Forward vertical integration** involves a **merger** or **takeover** with a firm further forward in the supply chain
  - E.g. A dairy farmer merges with an ice cream manufacturer
- **Backward vertical integration** involves a merger/takeover with a firm further backwards in the supply chain
  - E.g. An ice cream retailer takes over an ice cream manufacturer

Evaluating vertical integration

Advantages	Disadvantages
▪ Reduces the **cost of production** as middleman profits are eliminated ▪ Lower costs make the firm more **competitive** ▪ Greater control over the supply chain **reduces risk** as access to raw materials is more certain ▪ **The quality** of raw materials can be controlled ▪ Forward integration adds **additional profit** as the profits from the next stage of production are assimilated	▪ **Diseconomies of scale** occur as costs increase, e.g. unnecessary duplication of management roles ▪ There can be a **culture clash** between the two firms that have merged ▪ Possibly **little expertise** in running the new firm results in **inefficiencies** ▪ The price paid for the new firm may take a long time to recoup

▪ Forward integration can increase **brand visibility**	

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2. Horizontal integration

- This is a merger or takeover of a firm at the same stage of the production process
  - E.g. An ice cream manufacturer buys another ice cream manufacturer

Evaluating horizontal integration

Advantages	Disadvantages
▪ A rapid increase of **market share** ▪ Reductions in the cost per unit due to **economies of scale** ▪ Reduces competition ▪ Existing knowledge of the industry means the merger is more likely to be successful ▪ The firm may gain new **knowledge or expertise**	▪ **Diseconomies of scale** may occur as costs increase, e.g. unnecessary duplication of management roles ▪ There can be a **culture clash** between the two firms that have merged

3. Conglomerate integration

- This is a merger or takeover between firms in entirely different industries
  - E.g., An ice cream manufacturer buys a clothing company

Evaluating conglomerate integration

Advantages	Disadvantages
▪ **Spreads risk** across industries ▪ Uses **surplus cash** and skills elsewhere ▪ **Key expertise**, such as strong financial management or marketing know-how, can be shared with all part of the business	▪ Limited **management know-how** in unfamiliar sectors ▪ **Research** may be required to understand trends and customer needs ▪ Greater organisational **complexity**

Your notes

The impact of a merger or takeover on stakeholders

- When two businesses combine, different stakeholder groups can be affected
- These impacts often depend on how the merger or takeover is managed and the reason behind it (e.g., to grow, enter a new market or reduce costs)
- Stakeholders may **support or resist the change** depending on how it affects their own interests

Possible impacts on stakeholders

1. Employees

- Mergers may create **job opportunities** if the business grows
  - Employees might also have access to **better training** and **resources**
- However, businesses often try to cut costs after a merger or takeover
  - This may lead to **job losses** (especially in duplicated roles), uncertainty and lower morale
- E.g., When **Amazon** took over **Whole Foods**, some staff benefitted from higher wages, but others were worried about job security due to automation

2. Owners

- Shareholders of the business being taken over may receive a high offer for their shares
  - The combined company may become more profitable in the long term
- However, if the takeover fails or performance drops, the share price might fall, affecting owners' wealth
- E.g., **Facebook**'s takeover of **Instagram** increased its market value significantly, benefiting shareholders

3. Suppliers

- A larger business might place bigger orders, giving suppliers more business
- However, the new company may demand lower prices or switch to new suppliers to reduce costs
- E.g., After **Tesco**'s merger with **Booker** (a wholesaler), some small suppliers feared they would lose contracts due to pressure to cut prices

4. Customers

- Customers may benefit from lower prices, more product choice and improved services if the business becomes more efficient

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- However, less competition might lead to higher prices or fewer choices over time
- E.g., after **Disney** acquired **21st Century Fox**, some customers enjoyed new content, but others worried about fewer streaming choices

5. Competitors

- A merger or takeover can create a much stronger rival, making it harder for smaller businesses to compete
- However, if the new business faces problems after merging, it may open opportunities for others
- E.g., following the merger of **Vodafone** and **Idea** in India, smaller telecom companies found it harder to compete on price and network size

Your notes

Why a merger or takeover may or may not achieve objectives

- Mergers and takeovers can look attractive, but business leaders must also plan for **culture clashes, higher debt** and the real possibility that **regulators** will refuse the merger

Hard-to-blend cultures and systems

- When two very different organisational cultures join together, employees may clash over ways of working and IT systems may be incompatible
- Managers can spend months fixing problems instead of improving products
- Expected cost savings and new ideas can stall, leading to poorer performance and lower staff morale
  - E.g. **Kraft Foods** and **Heinz**'s merger in 2015 led to significant cost-cutting which left some brands under-funded and less able to compete

Heavier debt burden

- Mergers are often paid for with borrowed money
- High interest payments use cash that could alternatively fund research, marketing or new factories
- If profits fall, the enlarged business may be forced to cut dividends, sell assets or issue new shares
  - E.g. **Dell** borrowed $48 billion in 2016 to finance its purchase of rival **EMC**, which affected cash flow for years and was a key reason Dell had to raise finance by selling shares on the stock market in 2018

Regulation

- Competition watchdogs can delay a merger for years, demand that parts of the business be sold off, or block the deal entirely if they think it will hurt consumers
- Companies can spend years and millions of pounds on planning a merger that is never approved

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Case Study

Aon and Willis Towers Watson merger

- In 2020, **Aon**, a global insurance and risk management firm based in Ireland, announced a merger with **Willis Towers Watson**, another major insurance broker
- The merger would have created the world's largest insurance broker, worth around $30 billion
- However, in 2021, the U.S. Department of Justice (DOJ) stopped the deal

Why was it halted?

- The DOJ argued that
  - The merger would reduce competition in the insurance market
  - Businesses (especially large companies) would face **higher prices** and **fewer choices** when buying insurance services
  - It could have harmed innovation in the industry

Outcome

- The merger was **officially cancelled** in July 2021
- Aon had to pay Willis a **$1 billion termination fee**
- Both companies continued to operate separately

The importance of joint ventures and strategic alliances

Joint ventures

- A **joint venture** is when two businesses join together to share their knowledge, resources and skills to form a separate business entity for a limited period of time
  - E.g., The mobile network **EE** is a joint venture formed by the French mobile network, **Orange** and the German mobile network, **T-Mobile**

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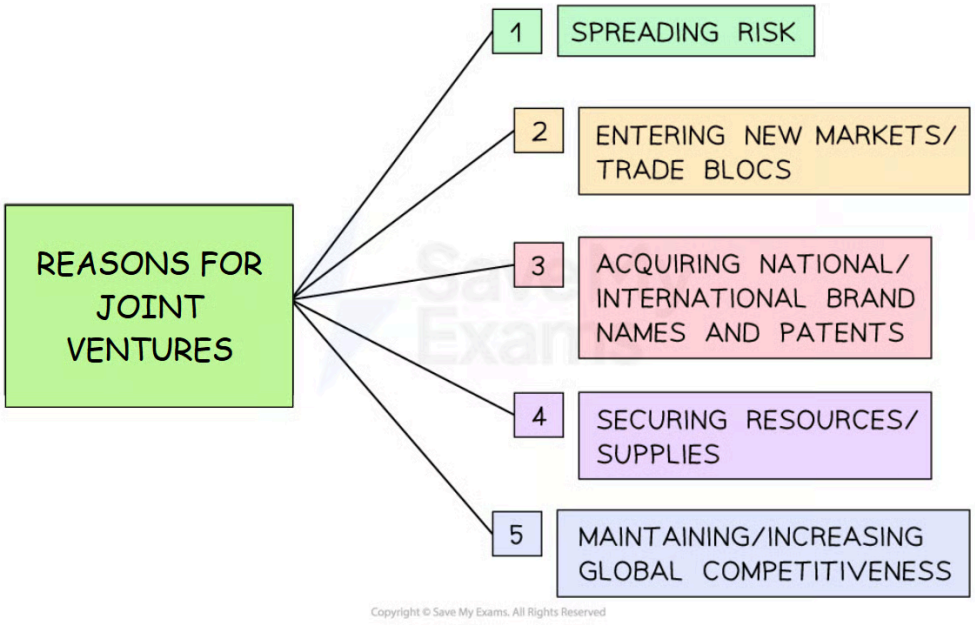

Key reasons for joint ventures include spreading risk and securing resources

Your notes

Problems with joint ventures

- **Conflicting objectives**
  - If the parent companies want different things, everyday decisions slow down and the joint venture can lose focus
    - E.g. In 2024 **ITV** sold its 50% stake in **Britbox** to the **BBC**, saying the service would be simpler to run under one owner after the partners' strategies began to diverge
- **Too small to compete**
  - A joint venture that stays small may not have the money, stores or marketing power needed to stand up to larger rivals, so it struggles to grow
    - E.g. In 2016, **Sainsburys** and **Dansk Supermarked**'s joint venture **Netto** ended because nationwide expansion would have required more investment than they were prepared to spend
- **Limited control for a minority partner**
  - A parent that owns only a small share may have little say in its strategy
    - E.g., **Tesco** ended its minority stake in its Chinese grocery joint venture in 2020, drawing a line under years of weak performance

Strategic alliances

- Strategic alliance agreements are **similar to joint ventures**
  - Businesses collaborate for a period of time to achieve a specified goal

- They agree to **work together for their mutual benefit**
- Resources are often shared

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Comparison of joint ventures and strategic alliances

Difference	Joint venture	Strategic alliance
The Nature of the Relationship	▪ **A joint venture** involves the creation of a new legal entity by two or more businesses	▪ **A strategic alliance** is a cooperative arrangement between two or more companies without the formation of a new legal entity
Ownership & Control	▪ In a joint venture the participating companies **jointly own and control** the new entity	▪ In a strategic alliance each participating company **retains its ownership** and control and **makes its own decisions**
Duration	▪ Joint ventures are often intended to be **long-term** or permanent collaborations ▪ Each company make significant investments and commitments to the joint venture with the expectation that shared operations will be ongoing	Strategic alliances can **vary in duration** ▪ They are generally formed for a specific project and can be terminated once the agreed-upon goals are achieved
Scope	▪ Joint ventures usually have a **broad scope** of collaboration	Strategic alliances are usually focused on a **specific area** of cooperation ▪ Companies join forces to **pursue a particular goal,** such as entering a new market or conducting research and development

Examiner Tips and Tricks

Joint ventures and strategic alliances are shared projects, not permanent arrangements like takeovers or mergers. Compare their lower risk and

knowledge-sharing benefits with the loss of some control to show balance in your answers

Your notes